

**BKM INDUSTRIES LIMITED**

Nomination and Remuneration Policy

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Applicable legal and regulatory framework

This Policy shall be read with the following principal requirements, each as amended, replaced, saved or brought into force from time to time:

- Companies Act, 2013, sections 149, 178, 197 and 198, Schedule IV and Schedule V
- SEBI Listing Regulations, regulations 17 and 19 and Part D of Schedule II
- Applicable rules, Secretarial Standards and shareholder approvals

STATUTORY OVERRIDE

If this Policy is inconsistent with a mandatory law, regulation, rule, circular, stock-exchange direction or judicial order, the mandatory requirement prevails. A more beneficial statutory employment benefit also prevails.

Policy provisions

Preamble

This Nomination and Remuneration Policy ("Policy") has been formulated pursuant to the provisions of Section 178 and other applicable provisions of the Companies Act, 2013, the Rules framed thereunder, the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), and such other laws, regulations and guidelines as may be applicable from time to time.

The Policy has been recommended by the Nomination and Remuneration Committee ("NRC" or "Committee") and approved by the Board of Directors ("Board") of BKM Industries Limited ("Company").

The Policy seeks to ensure that the Company attracts, retains and motivates competent leadership, promotes meritocracy, strengthens governance standards, and aligns remuneration with the long-term interests of shareholders and other stakeholders.

Objectives

The objectives of this Policy are to:

- Provide a framework for identifying, evaluating and appointing Directors, Key Managerial Personnel ("KMP") and Senior Management Personnel.
- Ensure an appropriate balance of skills, experience, diversity, independence and industry expertise on the Board.
- Establish transparent criteria for determining qualifications, positive attributes and independence of Directors.
- Ensure remuneration is fair, competitive, performance-oriented and aligned with the Company's strategic objectives.
- Facilitate succession planning for Directors, KMP and Senior Management Personnel.
- Promote a culture of integrity, accountability, diversity, inclusion and sustainable value creation.
- Ensure compliance with applicable laws, regulations and governance standards.

Applicability

This Policy shall apply to:

- Directors (Executive, Non-Executive and Independent Directors);
- Key Managerial Personnel;
- Senior Management Personnel;
- Such other employees as may be determined by the Board or the NRC from time to time.

Definitions

Unless the context otherwise requires:

"Act"

Means the Companies Act, 2013 and rules made thereunder, as amended from time to time.

"Board"

Means the Board of Directors of the Company.

"Committee" or "NRC"

Means the Nomination and Remuneration Committee constituted by the Board.

"Director"

Means a Director on the Board of the Company.

"Independent Director"

Means a director fulfilling the criteria prescribed under the Act and SEBI Listing Regulations.

"Key Managerial Personnel" or "KMP"

Shall have the meaning assigned under Section 2(51) of the Act and shall include:

- Managing Director / Whole-time Director / Chief Executive Officer;
- Chief Financial Officer;
- Company Secretary;
- Such other officer(s) as may be prescribed.

"Senior Management Personnel"

Shall mean officers/personnel of the Company who are members of its core management team, one level below the Managing Director/Chief Executive Officer and such other employees as defined under applicable laws.

"Remuneration"

Means salary, fees, allowances, incentives, commission, benefits, stock-based compensation, retirement benefits and any other compensation payable.

Role Of The Nomination And Remuneration Committee

The NRC shall, inter alia:

- Identify individuals qualified to become Directors and Senior Management Personnel.
- Recommend appointment, reappointment, removal and succession plans for Directors, KMP and Senior Management Personnel.
- Formulate criteria for determining qualifications, positive attributes and independence of Directors.
- Recommend remuneration policies for Directors, KMP and Senior Management Personnel.
- Evaluate performance of the Board, Committees, Directors and Senior Management.
- Review Board diversity and succession planning initiatives.
- Oversee implementation of employee stock option or incentive schemes, if any.
- Ensure remuneration practices are aligned with prudent risk management and long-term business sustainability.
- Perform such other functions as prescribed under applicable laws and by the Board.

Criteria For Appointment Of Directors

The NRC shall consider the following factors while recommending appointment of Directors:

- Qualifications

A candidate should possess appropriate:

- Educational qualifications;
- Professional expertise;
- Industry knowledge;
- Leadership capabilities;
- Strategic and financial understanding;
- Governance experience.
- Positive Attributes

The candidate should demonstrate:

- Integrity and ethical conduct;
- Sound judgment;
- Independence of thought;
- Leadership and teamwork;
- Commitment to stakeholder value creation;
- Ability to devote sufficient time and attention.
- Independence

An Independent Director shall satisfy all requirements prescribed under the Act and SEBI Listing Regulations.

- Diversity

The Board shall endeavor to maintain diversity in terms of:

- Gender;

- Skills and competencies;
- Professional background;
- Industry experience;
- Age and perspectives.

Appointment, Term And Removal

- Directors

Appointment and reappointment of Directors shall be subject to applicable statutory provisions, Board approval and shareholder approval wherever required.

- Independent Directors

Independent Directors shall be appointed for such tenure as permitted under applicable laws and shall not be entitled to stock options unless otherwise permitted by law.

- KMP and Senior Management

The appointment and removal of KMP and Senior Management Personnel shall be based on qualifications, performance, integrity, experience and business requirements.

The NRC may recommend removal of any Director, KMP or Senior Management Personnel in accordance with applicable laws and employment terms.

Succession Planning

The Company recognizes succession planning as a key governance responsibility.

The NRC shall periodically review and recommend plans relating to:

- Board succession;
- CEO/Managing Director succession;
- KMP succession;
- Leadership pipeline development;
- Emergency succession arrangements.

The objective shall be to ensure continuity of leadership and preservation of organizational knowledge.

Board Evaluation

The NRC shall establish criteria for evaluation of:

- The Board as a whole;
- Individual Directors;
- Independent Directors;
- Board Committees;
- Chairman of the Board.

Evaluation may include:

- Strategic guidance;
- Governance effectiveness;
- Attendance and participation;
- Stakeholder orientation;

- Risk oversight;
- Contribution to Board deliberations.

Independent Directors shall review the performance of Non-Independent Directors, the Chairperson and the Board as required by law.

Remuneration Philosophy

The Company's remuneration philosophy is based on the following principles:

- Pay for performance;
- Alignment with long-term shareholder interests;
- Internal equity and fairness;
- Market competitiveness;
- Retention of talent;
- Sustainable business growth;
- Compliance with statutory requirements.

Remuneration shall seek to reward both short-term performance and long-term value creation.

Remuneration Of Executive Directors

The remuneration of Executive Directors may comprise:

- Fixed Pay
- Basic salary;
- Allowances;
- Perquisites;
- Retirement benefits.
- Variable Pay
- Performance incentives;
- Commission;
- Annual bonuses;
- Long-term incentive plans;
- Stock-based compensation where permissible.

The NRC shall consider:

- Individual performance;
- Company performance;
- Industry benchmarks;
- Economic environment;
- Long-term strategic objectives.

All remuneration shall be within limits prescribed under applicable laws and approved by shareholders wherever required.

Remuneration Of Non-Executive Directors

Non-Executive Directors may receive:

- Sitting fees;

- Commission within statutory limits;
- Reimbursement of expenses incurred for attending meetings.

The remuneration shall reflect responsibilities undertaken and time devoted to the Company's affairs.

Remuneration Of Independent Directors

Independent Directors may receive:

- Sitting fees;
- Profit-related commission, if approved and permissible;
- Reimbursement of expenses.

Independent Directors shall not be entitled to stock options unless permitted under applicable laws.

Remuneration Of Kmp And Senior Management

Remuneration shall be based on:

- Role and responsibilities;
- Qualifications and experience;
- Individual performance;
- Business performance;
- Market benchmarks;
- Internal parity.

The remuneration structure may include:

- Fixed compensation;
- Performance incentives;
- Retention awards;
- Long-term incentive programs;
- Retirement and welfare benefits.

Malus And Clawback

Where considered appropriate by the Board or required under law, the Company may recover, adjust or withhold variable remuneration in cases involving:

- Fraud;
- Misconduct;
- Material financial restatement;
- Breach of fiduciary duties;
- Violation of the Company's Code of Conduct.

Disclosures

The Company shall make such disclosures regarding this Policy and remuneration matters as required under the Act, SEBI Listing Regulations and other applicable laws.

The Policy shall be hosted on the Company's website.

Review And Amendment

The NRC shall review this Policy periodically and recommend modifications to the Board whenever necessary.

The Board reserves the right to amend, modify or replace this Policy in whole or in part, subject to compliance with applicable laws.

Interpretation

Any question regarding interpretation of this Policy shall be determined by the NRC and/or the Board.

In case of any inconsistency between this Policy and applicable laws, the provisions of applicable laws shall prevail.

Effective Date

This revised Nomination and Remuneration Policy shall come into effect from the date of approval by the Board of Directors of BKM Industries Limited and shall remain in force until modified or rescinded by the Board.

Governance, monitoring and records

- Policy owner: Company Secretary / Head – Human Resources. The owner shall maintain procedures, registers, evidence and training appropriate to the control risks.
- Functional heads must escalate suspected breaches promptly and cooperate with reviews or investigations.
- Records must be accurate, access-controlled and retained for the longer of the statutory period, an applicable legal hold and the Company's Preservation Policy.
- A person who raises a concern in good faith is protected from retaliation, subject to the Company's whistleblower framework.

Review, approval and controlled disclosure

This Policy shall be reviewed annually and earlier on a material legal, regulatory, operational or organisational change. Amendments require approval by the Board of Directors on recommendation of NRC unless a law permits a delegated, non-substantive update.

This is an internal controlled document. External disclosure is permitted only where required by law or specifically authorised through the Company's disclosure controls.